

American International Group

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AGENDA

Presentation Overview



I. Introduction

Thesis and overview of the prosecution's case



II. Background

Two channels of fraud, timeline, and key actors



III. Kindleberger / Minsky

5 Stage Macro Model



IV. Fraud Triangle

Micro Model (Pressure, Opportunity, Rationalization)



V. Control Fraud

Weapon & Shield



VI. Legal Fraud & Synthesis

Pattern of deception, how all models fit together

PART I



Introduction



PART I | INTRODUCTION

The Case Against AIG

\$182 Billion

Federal bailout — largest in U.S. history

AAA → Bailout

World's largest insurer, \$1T+ in assets

Central claim we will prove: AIG's collapse was not a risk management failure. It was the foreseeable consequence of a sustained, intentional pattern of financial deception across two mutually reinforcing channels.

Channel 1: Accounting fraud under Greenberg
\$500M sham reinsurance with Gen Re

Channel 2: AIGFP CDS exposure under Cassano
\$527B in unhedged credit default swaps

PART II

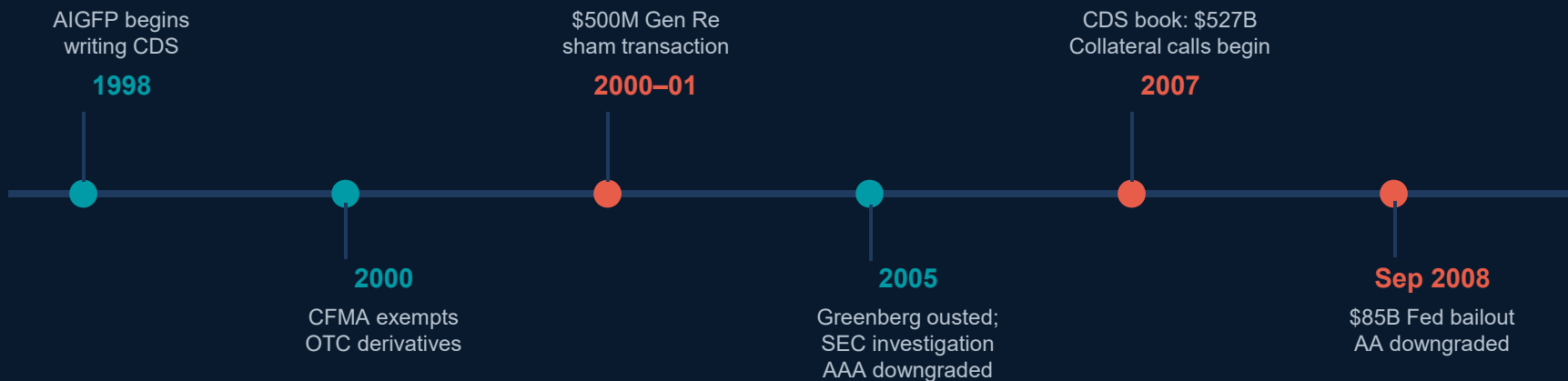


Background

The channels of fraud & the 5 elements



Timeline of Key Events



Sources: Boyd (2011); SEC v. Greenberg (2009); Federal Crop Insurance Corporation (2011)

Channel 1: Accounting Fraud Under Greenberg

The Gen Re Transaction (2000–2001)

\$500 million in paper reserves transferred onto AIG's books with **no genuine risk transfer**. Premium paid and expected recovery were identical in present value. Gen Re was protected against loss through side agreements.

Purpose

- Inflate loss reserves by \$500M
- Mislead analysts and rating agencies
- Smooth reported earnings
- Bid-rigging via Marsh & McLennan

Management Culture

- Financial results as “outputs to be engineered”
- Severe consequences for missing targets
- Boundary between aggressive accounting and fabrication eroded over time

Sources: SEC v. Greenberg (2009); Boyd (2011)

PART II | BACKGROUND

Channel 2: AIGFP's CDS Portfolio

\$527B

Notional CDS exposure
by 2007

\$78B

In multi-sector CDOs
with subprime exposure

Zero

Meaningful hedging or
capital reserves

FCIC & Examiner's Findings

- Models assumed housing prices would not decline nationally and simultaneously
- Collateral posting provisions required billions in cash upon downgrades
- Management systematically understated these provisions to investors
- Cassano publicly claimed AIGFP could not lose “one dollar” on CDS positions

PART III



Kindleberger / Minsky

Displacement, credit creation, euphoria, distress, and revulsion



Minsky Model

AIG's fraud was caused by its own long-term growth. High market expectations forced executives to use Ponzi style accounting to satisfy investors. The Minsky Moment happened when regulators exposed these round trip deals. This shows that stability often hides the growth of fatal risks.

The Trap of Long-Term Stability

- ❑ AIG's decades of steady growth created a false sense of security.
- ❑ Investors became overconfident, pricing AIG like a high & stable growth tech firm.
- ❑ This stability created high expectation for investors and encouraged management to take more aggressive accounting risks.

Transition to Ponzi-Style Accounting

- ❑ The Gen Re deal was a **Round-trip transaction**.
- ❑ There was **zero risk transfer**; money just moved in a circle to inflate reserves.
- ❑ In Minsky's view, this is Ponzi Finance: the deal didn't create value, it only created the illusion of value.
- ❑ AIG used Finite Reinsurance as a tool for Regulatory/Accounting Arbitrage.

The Minsky Moment

- ❑ The SEC/DOJ investigation was the trigger that popped the bubble.
- ❑ Once the accounting lies were revealed, the **AAA/AA credit rating** (the foundation of their leverage) was threatened, leading to a massive loss in market value.

PART IV



Fraud Triangle

Pressure, opportunity, and rationalization at AIG

IV

CDS collateral calls and securities-lending redemptions, 2007-2008

Pressure on AIGFP's multi-sector CDS portfolio and on AIG Life's securities-lending program as documented in primary filings

Compensation structure paid profits up front [1][2][4][8]

Cassano received \$315M (\$280M cash + \$34M bonuses) from 1987 to Mar 2008 (Waxman, House Oversight, Oct 7, 2008). AIGFP's ~400 employees were paid \$3.5B over the prior seven years. Senior Partners Plan paid 30% of operating earnings; profits booked up front, tail risk retained at the AIG parent.

Counterparty valuations diverged from AIG's marks [3][7][9]

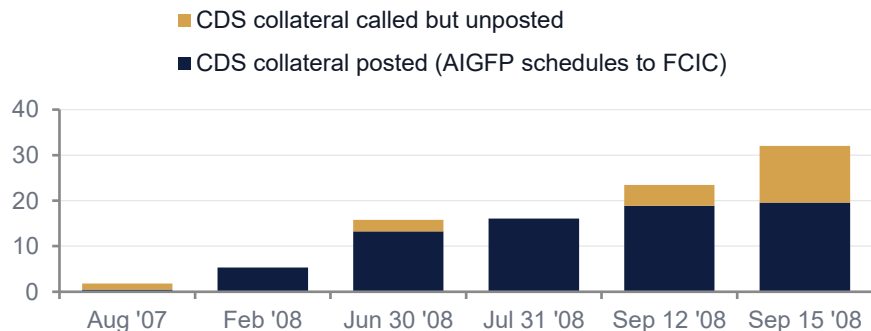
Goldman's first call came Jul 27, 2007: \$1.8B, pricing the AIG portfolio at ~85c. Revised Aug 2 to \$1.3B at ~89c. AIG disputed the valuations. AIG privately agreed to post \$450M that August. Feb 28, 2008 10-K: \$5.3B posted against \$11.5B unrealized loss.

Securities-lending program exposure [5][6]

By Q3 2007, AIG had loaned \$88.4B in securities; 65% of cash collateral (\$49.5B of \$75.7B) reinvested in RMBS/ABS (FCIC, AIG-FCIC00145574). AIG parent deposited \$3.3B through Aug 31, 2008 to cover shortfalls. Total losses on the program: \$21B (McDonald & Paulson, FRB Chicago WP 2014-07).

Collateral activity on the multi-sector CDS book

Collateral called vs. posted under AIGFP's multi-sector CDS book [3][9]



NOTE: Pre-disclosure (Nov 2007): Cassano told PwC the Goldman gap was \$5B; Sullivan said it would "eliminate the quarter's profits" (FCIC Ch. 14). Disclosed Feb 28, 2008: \$11.5B. Post-rescue: SIGTARP (Nov 2009) - Maiden Lane III settled at ~48c/\$ (\$27.1B paid + \$35B retained collateral on \$29.6B fair-value CDOs), validating Goldman's marks. [3][8][9]

REFERENCES

[1] In re AIG Consol. Deriv. Litig., C.A. No. 769-VCS, 976 A.2d 872 (Del. Ch. June 17, 2009) (Strine, V.C.). [2] SEC v. Greenberg & Smith, 09-CV-6939 (LAP) (S.D.N.Y. Aug. 6, 2009); SEC Lit. Rel. 21170; settlements Aug. 25, 2009 (\$15M, \$1.5M; officer/director bars). [3] AIGFP/Goldman Sachs Collateral Call Timeline, FCIC document archive (FRASER/St. Louis Fed); AIG Form 10-K for FY2007 (Feb 28, 2008). [4] FCIC Final Report (Jan 2011), Ch. 19, pp. 347-352; FCIC Interview of Eugene Park (former AIGFP), May 2010. [5] McDonald & Paulson, "AIG in Hindsight," FRB Chicago WP 2014-07; J. Econ. Perspectives 29:2 (2015). [6] AIG Form 10-K for FY2008, filed Mar 2, 2009 (securities lending program; \$3.3B parent deposits). [7] Forster-Frost telephone transcript, July 11, 2007 (AIG-SEC1910855 to AIG-SEC1910862); Goldman FCIC submission, Aug 31, 2010, pp. 1-3. [8] SEC, "AIG Settles Fraud, Bid-Rigging and Improper Accounting Charges," Feb 9, 2006 (2005 restatement ~\$3.9B). [9] Goldman Sachs, "Valuation & Pricing Related to Initial Collateral Calls on Transactions with AIG," FCIC submission (Aug 31, 2010); O'Harrow & Dennis, "The Beautiful Machine," Washington Post (Dec 28, 2008-Jan 1, 2009); SIGTARP, "Factors Affecting Efforts to Limit Payments to AIG Counterparties," SIGTARP-10-003 (Nov 17, 2009).

Regulatory framework and internal controls applicable to AIGFP's CDS book

Statutory scope, supervisory assignment, model inputs, and internal-control access as documented in the regulatory record

\$527B

AIGFP CDS notional, Dec 31, 2007

[1][2]

AAA

Rating that substituted for posted capital

[2][3]

\$0

CDS capital required under CFMA (2000)

[4][5]

\$379B

CDS for “regulatory capital relief” (AIG 10-K)

[1][8]

Four documented layers of regulatory and internal-control scope

Statutory: CFMA (2000) [4][5]

Commodity Futures Modernization Act preempted CFTC, SEC, and state gaming / insurance oversight of OTC credit derivatives. CDS could be written without capital, margin, or reporting.

Supervisory: OTS as “consolidated regulator” [2][6]

A thrift regulator oversaw a 130-country insurer. Former OTS Director John Reich told FCIC staff he was “never sure” what authority OTS held over AIGFP.

Model: supersenior tranche structure [7][8][9]

AIGFP wrote CDS protection on supersenior CDO tranches above AAA. Gorton (Wharton, later Yale SOM) consulted 1996-2008; his actuarial model priced credit losses but did not model mark-to-market collateral demands. Cassano’s “money-good” claim addressed credit losses; AIG’s failure was on mark-to-market collateral postings, which the model did not contemplate (FCIC Ch. 19; Cassano FCIC testimony, June 30, 2010).

Internal control: valuation-access exclusion [10]

AIGFP did not have an internal pricing system to value the securities on which it sold protection until December 2007 (Goldman FCIC submission, Aug 31, 2010, p. 1; FCIC Final Report Ch. 14). Sep 2007: Cassano told AIGFP VP Accounting Policy Joseph St. Denis he was “deliberately excluded” from supersenior valuation to avoid “polluting the process.” St. Denis, a former SEC enforcement accountant, resigned Oct 1, 2007.

REFERENCES

[1] AIG Form 10-K for FY2007, filed Feb 28, 2008, p. 122. [2] FCIC Final Report (Jan 2011), Ch. 19, pp. 347-352. [3] Moody’s, S&P, Fitch concurrent AAA ratings on AIG senior debt through Sep 15, 2008. [4] Commodity Futures Modernization Act of 2000, Pub. L. 106-554, §408. [5] Testimony of Eric Dinallo, Former NY Ins. Superintendent, FCIC Hearing, July 1, 2010. [6] Testimony of Scott Polakoff, Acting Director OTS, Senate Banking Committee, Mar 5, 2009. [7] Yale SOM faculty page, “Gary B. Gorton” (consulted for AIGFP 1996-2008); FCIC Interview of Gary Gorton, May 11, 2010; Cassano FCIC sworn testimony, June 30, 2010. [8] McDonald & Paulson, “AIG in Hindsight,” J. Econ. Perspectives 29:2 (2015). [9] FCIC Final Report (Jan 2011), Ch. 19 “The Madness,” pp. 347-352, on AIGFP CDS book valuation and collateral mechanics. [10] Letter from Joseph W. St. Denis to House Oversight Committee, Oct 4, 2008.

3 RATIONALIZATION - DOCUMENTED JUSTIFICATIONS

The justifications that remained on the record

What management said publicly, what was said internally, and the model relied upon to underwrite the \$527B book

In their own words: the verbatim record



It is hard for us, without being flippant, to even see a scenario within any kind of realm of reason that would see us losing one dollar in any of those transactions.

Joseph Cassano, CEO AIGFP · Investor call, Aug 9, 2007 [1]



I have deliberately excluded you from the valuation of the Super Seniors because I was concerned that you would pollute the process.

Cassano to Joseph St. Denis, VP Accounting Policy AIGFP · September 2007, per St. Denis letter [2]



The losses are not indicative of the losses AIGFP may realize over time. [They] will reverse over the remaining life of the portfolio.

Martin Sullivan, CEO AIG · Feb 28, 2008, disclosing \$11.5B unrealized loss [3]

Documented management positions and controls

01

Reliance on the actuarial model [4][5][7]

In his June 30, 2010 FCIC sworn testimony, Cassano relied on Gorton's actuarial model and admitted: "I did not expect actual, economic losses on the portfolio." No hedge was placed on the \$527B CDS book after AIGFP stopped writing new subprime CDS in early 2006. Maiden Lane III's ~48c/\$ settlement (SIGTARP, Nov 2009) is the post-rescue rebuttal.

02

Exclusion of CDS unrealized losses from bonus calc [6]

At the board meeting authorizing CEO Martin Sullivan's 2007 bonus, the AIG board excluded AIGFP unrealized market valuation losses from the Senior Partners Plan earn-out calculation (Waxman, Oct 7, 2008 hearing, from board minutes).

03

The disclosure gap: Nov 2007 - Feb 2008 [3][8][9]

Nov 29, 2007: PwC warns Sullivan of "material weakness" in CDS valuation; Sullivan said he was "going to have a heart attack" when told Goldman marks would erase quarterly profits (FCIC Ch. 14). Nov 30, 2007: Cassano demands Goldman return \$1.55B posted collateral; refused (FCIC Tab 27). Dec 5, 2007: AIG investor meeting (Form 8-K); Sullivan publicly states loss probability "close to zero."

REFERENCES

[1] AIG Q2 2007 earnings call transcript, Aug 9, 2007 (Cassano remarks). [2] Letter from Joseph W. St. Denis to Rep. Henry Waxman, House Oversight Committee, Oct 4, 2008. [3] AIG Form 8-K, Dec 5, 2007 (Investor Meeting, Item 8.01); AIG Form 10-K for FY2007, filed Feb 28, 2008. [4] PwC Nov 23, 2007 meeting notes with AIG/AIGFP executives re. SSCDS valuation; Goldman valuation impact estimated at \$5B (FCIC document archive, Tabs 22-26). [5] FCIC Final Report (Jan 2011), Ch. 14 "Late 2007 to Early 2008: Billions in Subprime Losses," covering the November 2007 PwC-Sullivan-Cassano meetings. [6] H. Oversight & Government Reform Committee hearing, Oct 7, 2008 (Chairman Waxman, AIG board minutes re Senior Partners Plan earn-out). [7] Testimony of Joseph J. Cassano before the FCIC, June 30, 2010 (Gorton model reliance). [8] AIGFP/Goldman Sachs Collateral Call Timeline, FCIC document archive (FRASER/St. Louis Fed), Tab 27 (Nov 30, 2007 Cassano demand for return of \$1.55B in posted collateral). [9] AIG Form 8-K, Feb 11, 2008 (disclosing material weakness in CDS valuation); AIG Form 10-K for FY2007 (Feb 28, 2008), Item 9A "Controls and Procedures."

PART V



Control Fraud

AIG as weapon and shield — Black's framework



Black's Control Fraud — The Framework

How a legitimate institution becomes the instrument of fraud

Element	Black's Definition	AIG Manifestation
Control	CEO/executive controls a seemingly legitimate entity	Greenberg at AIG parent; Cassano at AIGFP
Weapon	Firm used to generate fictional income and loot value	Sham reinsurance inflates reserves; CDS premiums booked as profit with no capital offset
Optimal recipe	Grow fast, lend/underwrite to bad risks, minimal loss provisions	AIGFP CDS book grew from \$0 to \$527B in under a decade
Criminogenic env.	Deregulation + accounting opacity = opportunity	CFMA (2000) removed OTC derivative oversight; OTS lacked expertise

Key insight: The fraud did not happen despite AIG's size and prestige — it happened because of them.

AIG as Weapon — Manufacturing Fictional Profits

Two channels, one purpose: inflate reported performance

Channel 1 — Greenberg / Reserve Manipulation

- \$500M Gen Re transaction created paper reserves with no genuine risk transfer
- Purpose: signal financial strength to analysts and rating agencies
- Management culture treated earnings as "outputs to be engineered", missing targets carried severe consequences
- Boundary between aggressive accounting and fabrication eroded systematically over time

Channel 2 — Cassano / CDS Premium Harvesting

- AIGFP collected billions in CDS premiums while carrying \$527B in notional exposure with zero meaningful hedging
- Short-term fee income recognized immediately; tail risk deferred and concealed
- Cassano publicly stated AIGFP could not lose "one dollar" — a claim management knew was unsupportable

Net effect: Fictional profits drove stock price, compensation, and borrowing capacity — all of which funded further expansion of the fraud.

AIG as Shield — Deflecting Scrutiny

Three layers of protection that made the fraud sustainable

01

AAA Rating as Credibility Armor

- Pre-2005 AAA allowed AIGFP to operate with no collateral posted on CDS contracts
- Counterparties and regulators deferred to the rating rather than independent risk assessment
- Rating agencies relied on AIG-supplied models — the shield was self-reinforcing

02

Regulatory Arbitrage

- AIGFP regulated by OTS — a regulator with no derivatives expertise
- 2007 OTS report rated AIGFP risk as 'moderate' with 'adequate risk management'
- Avoided both insurance capital requirements and bank leverage constraints simultaneously

03

Institutional 'Too Big to Fail' Halo

- \$1T+ in assets created implicit assumption of federal backstop
- Internal dissenters flagging collateral exposure in 2007 were overruled
- Systemic importance became rationalization for regulatory forbearance

The shield held until September 2008 — when simultaneous rating downgrades triggered collateral calls the shield could no longer absorb.

PART VI



Legal Fraud & Synthesis

Individually defensible acts, collectively coherent deception

VI

Three Acts That Survive Individual Scrutiny But Not Aggregate Analysis

The Gen Re Transaction

SEC Complaint (2009) · People v. Greenberg (NY AG)

Defensible alone:

Finite reinsurance is a legitimate instrument. Whether a transaction transfers genuine underwriting risk is a professional-judgment call under SFAS 113 defensible in isolation.

Aggregate pattern:

Side agreements stripped Gen Re of all economic risk. Internal communications establish the sole purpose was cosmetic reserve inflation. People v. Greenberg prosecuted precisely this aggregate intent.

CDS Fair Value Disclosures

Examiner's Report (2009) · McDonald & Paulson NBER (2015)

Defensible alone:

SFAS 157 fair value accounting permitted use of internal models. The Examiner's Report confirmed the methodology was internally consistent and used recognised valuation approaches.

Aggregate pattern:

Disclosures omitted material information: collateral call provisions, CDO concentration, internal awareness of model limitations. McDonald & Paulson (2015) empirically reject the 'money-good' claim 12% write-downs in ML-III.

Cassano's December 2007 Public Statement

FCIC Testimony (2010–11) · Rakoff

Defensible alone:

Management optimism and reliance on internal models are permissible. Executives are entitled to good-faith interpretations of proprietary data. Future-looking statements attract legal protection.

Aggregate pattern:

The 'cannot lose one dollar' statement was made after Goldman had begun collateral demands and AIGFP analysts had identified concentration risk. The gap between public statement and internal knowledge is documented in the FCIC record.

Key insight: Legal Fraud reads the pattern, not the transaction. The case is built on what the aggregate record reveals about intent not on whether any single act crossed a bright legal line.

False Representation • Scienter • Reliance

01

False Material Representation

Gen Re: \$500M reserve inflation no genuine risk transfer, side agreements documented in SEC complaint.

CDS disclosures: Fair value materially understated; collateral call provisions omitted (Examiner's Report, 2009).

'Money-good': McDonald & Paulson (NBER 2015) empirically reject the claim ML-II 5.1% write-downs, ML-III 12% write-downs.

Securities lending: Liquidity risk concealed 65% of collateral invested in illiquid mortgage assets (McDonald & Paulson p.8).

02

Scienter — Knowledge or Reckless Disregard

Gen Re direct evidence: Side agreements establish Greenberg and Smith knew the transaction had no genuine risk transfer purpose (SEC complaint; People v. Greenberg).

CDS reckless disregard: Gap between Cassano's Dec 2007 'cannot lose one dollar' statement and Goldman's concurrent collateral demands documented in the FCIC record.

Willful blindness: (Giddens): senior executives 'aware of, or turned a blind eye to, questionable actions on their watch' satisfies the standard.

Market timing: Davidson- incentives for fraud are highest when share prices embed high expectations precisely the 2005–07 AIGFP period.

03

Victim Reliance

Rating agencies: S&P, Moody's, Fitch maintained AA/AA+ ratings through mid-2008 based on inflated financials (McDonald & Paulson Table 9: S&P held AA+ until March 2005, AA until May 2008).

Counterparty reliance: Goldman's 4% collateral threshold explicitly conditioned on AIG's AA rating a direct product of reliance on the fraudulently maintained narrative.

Investor reliance: AIG shareholders and bondholders relied on materially false SEC filings throughout both fraud channels.

Judge Rakoff : 'Society is harmed when a seller lies about a material fact, because such misrepresentations create problems for the market as a whole.'

Damages • Intent • Why Legal Fraud Persists

04

Damages to Perpetrators' Benefit

Greenberg: \$3B+ wealth tied to AIG stock sustained by artificially inflated share price.

Cassano: \$280M+ compensation tied to AIGFP's reported CDS profitability profitability that ignored the contingent liability being created.

Goldman Sachs: \$13B collected via backdoor Fed rescue (Greider, 2010). Counterparties made whole at 100¢/dollar on contracts that should have taken haircuts.

05

Intent

Direct evidence: Gen Re side agreements establish that Greenberg and Smith deliberately structured the transaction to circumvent SFAS 113 (SEC complaint; *People v. Greenberg*).

Systematic pattern: Successive finite reinsurance transactions not one isolated deal establish institutional intent. 'the slippery slope is gradual and can last over changes in personnel' (Jennings,).

Willful blindness: CDS channel Cassano's public statements made with internal knowledge to the contrary satisfy the legal standard (*U.S. v. Goyal*, 9th Cir. 2010)

McLEAN'S STRUCTURAL ENABLERS

Autocratic leaders, unchecked

'In so many instances AIG, Countrywide, Moody's, Merrill Lynch autocratic leaders go unchecked into great risk.' (McLean, Bailey/Chicago 2010). Boyd confirms: AIG's culture rewarded agreement with the earnings narrative; dissenters were marginalised.

Compensation amplifies fraud

AIG rewarded the appearance of performance, not economic reality. Cassano's \$280M+ was tied to fictional CDS profitability. (Davidson): 'Incentives for fraud are high when all firms have high expectations built into their share price.'

Structural reform insufficient

McLean (2010): 'I don't think there's any real fix for the too-big-to-fail thing.' Greider confirms: Dodd-Frank addressed specific regulatory gaps but not the power imbalance between megabanks and their regulators.

The Prosecution Case Rests on Direct Documentary Evidence

SEC Civil Complaint (2009)

Internal communications and meeting records establish that the Gen Re transaction was structured for accounting purposes with no genuine risk transfer intent, supported by written side agreements protecting Gen Re from all loss.

People v. Greenberg (NY AG)

State prosecution built on aggregate intent theory: individually defensible accounting acts form a coherent pattern of market deception. Confirms the slippery slope of successive transactions was systematic, not episodic.

FCIC Testimony (2010–11)

Documents the gap between Cassano's December 2007 investor statement ('cannot lose one dollar') and concurrent internal risk analyses and Goldman's active collateral demands establishing scienter for the CDS channel.

Examiner's Report (2009)

AIG's CDS valuations in SEC filings were materially misstated. Internal controls over the valuation process were inadequate. PwC required a restatement after initially signing off on the model-based valuations.

McDonald & Paulson NBER (2015)

Empirically rejects the 'money-good' claim: ML-II assets suffered 5.1% write-downs and ML-III 12% write-downs as of Oct 2014, with further losses outstanding proving the central public narrative was materially false.

Boyd, Fatal Risk (2011)

Through direct interviews with dozens of AIG executives, establishes that earnings management was a systemic institutional practice not isolated incidents and that the culture actively suppressed internal dissent on reserve quality and CDS risk.

Aggregate Pattern as Legal Fraud

No single transaction was unambiguously fraudulent in isolation. The Legal Fraud case is built from the aggregate: systematic reserve manipulation, undisclosed CDS risk, knowingly false public statements, suppressed internal dissent, and looting compensation structures — sustained across more than a decade, and terminated only by the collapse of the macro environment that had made it possible.

False Representation	Scienter	Reliance	Damages	Intent
SEC Complaint Examiner's Report McDonald & Paulson	Gen Re side agreements FCIC record	Rating agency AAA Counterparty thresholds	Greenberg \$3B+ Cassano \$280M+ Goldman \$13B	Aggregate pattern Willful blindness Slippery slope

"Everyone wants to find the one villain. We wanted to tell the whole story it's so complex."

— **Bethany McLean, Chicago Magazine (Bailey, 2010)**

"The line between aggressive accounting and fraud is a thin one involving the application of unclear rules that require judgment calls."

— **Henning**

Losses + Regulatory / Rating Arbitrage

"If there's a single episode in this entire 18 months that has made me more angry, I can't think of one... AIG exploited a huge gap in the regulatory system." - Ben Bernanke

Securities Lending

- Lent securities from life insurance
- Received cash collateral (~\$80bn), invested that into RMBS + CDOs; normally supposed to invest in low duration, super liquid assets
- Due to AAA/AA rating, borrowers had trust in AIG to act appropriately
- Maturity mismatch (similar to SVB) , short term liabilities and long term, illiquid mortgage securities
- **~\$21bn in losses:** Subprime deteriorates, RBMS prices fall and borrowers want money back. AIG is forced to sell at losses to meet this in an illiquid and falling market.

CDS on Senior CDO

- Buyers pays premium (short risk), AIG pays if bond defaults (long risk)
- AIG sold CDS protection on senior tranche of CDOs (around \$78bn CDOs, main source of losses)
- Originally, little-to-no collateral posted due to AAA rating...allows them to expand business
- CDS moves against them as subprime falls, counterparties ask where is the collateral
- Ratings get downgraded, collateral posting is tied to rating -> massive collateral call
- **Losses were approximately ~\$28.6bn: Mixture of actual defaults + government stepping to pay counterparties for MTM (other investment banks)**

Regulatory Arbitrage

- Used off-balance-sheet / lightly regulated entity (AIGFP) to take risk outside insurance oversight
- Avoided bank/insurance regulation while taking bank-like leverage and engaging in maturity transformation
- AIGFP was regulated by Office of Thrift Supervision
- **April 2007 report for AIGFP for OTS stated "risk was moderate"; never experienced a loss, adequate risk management team, level of super senior CDS risk is low due to diversification and firms "low risk tolerance"**
- **Ended 2007 with 11 Bn of losses**

Evidence consistent with intent to deceive

- Losses on CDS (book premiums, used internal models for marks) and RMBS (kept early losses out of earnings, but instead put in 'other comprehensive income') exposures were recognized only once they were clearly unavoidable, allowing the firm to defer the impact of deteriorating housing conditions - basically misleading investors. These accounting actions stem from a practice starting by Greenberg in the late 90s / early 2000s.
- AIG also concentrated much of this activity within AIG Financial Products, a unit that operated more like a hedge fund than a traditional insurance business, taking on large, directional exposures with leverage to structured credit while benefiting from the parent company's balance sheet and credit rating; **they chose this structure (outside of core regulation) to be able to this**
- Cassano characterized losses as a liquidity issue as his defense in 2011. The need for collateral was driven by real deterioration in the underlying mortgage assets, meaning liquidity pressure reflected, rather than caused the firm's economic exposure

Final Remarks

Poor (or no) Risk Management: Incorrect correlation assumptions, belief that national housing prices couldn't fall, and failure to account for liquidity risk from collateral calls and short-term funding

Regulatory Arbitrage: Risk concentrated in lightly regulated offshoots (AIGFP), allowing AIG to take on bank-like leverage and sell insurance-like products without bank or insurance capital constraints. AAA/AA Rating allowed for this

Government Support: AIG received ~\$182B in government support, which was ultimately repaid with a profit to taxpayers, though the bailout exposed taxpayers to significant systemic risk

Cassano: took home \$300mm during his time at AIG and took no responsibility for AIG's losses claiming prices falling were "liquidity" related

Securities Lending losses

Company	State	2007 Assets \$	% of 2007 Assets in Securities Lending	2008 Realized Securities Lending Losses \$	2008 Regulatory "Adjusted" Capital \$	2008 Capital Infusions Q3 & Q4 \$	2008 Authorized Control Capital \$	2008 Regulatory "Adjusted" Capital less Q3 & Q4 Capital Infusions
ALICO	DE	101,632	4.5%	470	4,332	967	NA	3,365
VALIC	TX	63,999	15.1%	3,563	2,940	3,621	486	-681
AIG Annuity	TX	50,553	39.7%	7,109	3,242	6,048	538	-2,806
Am. General Life	TX	33,682	31.3%	3,790	2,844	3,084	949	-240
SunAmerica Life	AZ	39,455	27.1%	2,281	4,805	1,366	692	3,439
AIG SunAmerica Life	AZ	35,072	6.1%	425	1,317	281	59	1,036
AIG Life	DE	10,790	23.6%	870	465	679	82	-214
Am. Gen Life & Accident	TN	9,134	33.9%	977	594	786	89	-192
First SunAmerica	NY	6,479	30.3%	654	550	947	63	-397
Am. International	NY	7,093	35.1%	771	458	801	74	-343
United States Life	NY	5,315	25.1%	395	305	456	50	-151
Total: AIG Life		364,770	19.0%	21,305	22,488	20,003	4,972	2,485

Ratings Changes

Date	Rating Firm	Rating
Pre 3/15/2005	All	AAA/Aaa
3/30/2005	S&P	AA+
6/03/2005	S&P	AA
5/08/2008	S&P	AA-
9/15/2008	S&P	A-
3/31/2005	Moodys	Aa1
5/02/2005	Moodys	Aa2
5/22/2008	Moodys	Aa3
9/15/2008	Moodys	A2
3/15/2005	Fitch	AA+
5/02/2005	Fitch	AA
5/08/2008	Fitch	AA-
9/15/2008	Fitch	A

Source: Bloomberg.